

VICR pitch deck

PITCH — VICR (Vicor Corp) — PROPOSED — PENDING ADJUDICATION

Verdict: No position at \$194.62 — the operating business is genuinely inflecting, but the price already embeds more than we can defend; open a limit-only ladder at \$120 / \$100 and let the October print decide.

What we believe

Vicor makes power-conversion modules that sit next to AI accelerators. Underneath a reported quarter that looks spectacular, there is a real, improving business — and a large amount of accounting noise on top of it.

Stripping the noise out of the June 2026 quarter ([10-Q, filed 2026-07-29](#)):

- Total revenue was \$143.4M. Of that, **\$30.4M was royalties** and \$2.0M was engineering fees. The actual product business did **\$110.9M**, up **32.5%** from \$85.7M a year ago ([revenue detail](#)).
- Gross margin **on product** was 46.7%, up from 42.9% a year ago — nearly 4 points of improvement.
- Excluding royalties entirely, the operating business made **+\$4.5M** this quarter versus **-\$9.9M** a year ago. It crossed from losing money to making money.
- Reported EPS was \$1.04. But net income (\$49.8M) was *larger* than pre-tax income (\$38.9M), because of a **\$10.9M tax benefit** driven by employees exercising options while the stock was near \$250. Take the royalties out and tax the rest at a normal 21%, and the quarter is about **\$0.14 a share**.
- Capital spending is accelerating: \$23.6M in the first half versus \$10.8M a year earlier, and the plant is measurably running hotter year over year — consistent with rising utilization.

So: a real franchise, genuinely inflecting, with a temporarily flattering income statement. The problem is entirely the price.

What the market believes

Wall Street models **\$911.9M of revenue in 2027** (four estimates) against \$581.3M this year, with an average price target of \$282.50 ([consensus](#)).

Back the royalties out of that 2027 number — roughly \$70–90M — and the street is implicitly forecasting **\$825–840M of product revenue**, versus something like \$490M this year. That is

product revenue nearly doubling. The company's disclosed one-year backlog is \$379.7M, which covers **43–45%** of it.

At \$194.62 the equity is worth about \$9.0B; net of \$453.6M of cash and essentially no debt, the enterprise is **\$8.5B**, or roughly **16–19× product sales** (the range depends on which product base you use — see “unverified”).

The stock is down 49% from its 52-week high of \$382.65 but still **4.1× its 52-week low of \$47.56**. Both facts are true at once, and together they describe a crowded position unwinding, not a bargain appearing.

Why we might have edge

Three things, and we should be precise about which are real.

1. **The royalty line is not what the earnings call said it was.** On the call, management quantified “\$15M” from a new licensing agreement. The filed document shows the royalty *category* was \$30.4M — meaning there is a **second, legacy ~\$15M/quarter royalty stream** that the call never mentioned. Anyone modeling from the transcript is working with half the number. That is a real gap between what was said in one venue and what was filed in another, and it is checkable in one document.
2. **The tax benefit is stock-price-dependent and nobody is adjusting for it.** The \$10.9M benefit exists because options were exercised around \$250. It shrinks as the stock falls. Models that annualize this quarter's net margin are annualizing something that is already gone.
3. **The prior-year comparison is contaminated.** A **\$45M litigation settlement was paid to the company in May 2025** and credited inside operating income — you can prove it arithmetically, because reported Q2'25 operating income (\$45.4M) is larger than that quarter's entire gross profit (\$47.1M), which would require operating expenses of ~\$1.7M for a company that spends ~\$47M a quarter ([commitments note](#)). Ex-settlement, last year's operating income was about \$0.4M. Both the bull comparison and the bear comparison are wrong unless you make this adjustment.

Honest limit on all three: this edge tells us the reported numbers are misleading in **both directions**. It does not, by itself, tell us the stock is cheap. It tells us where the fair value band is — and the band is below the price.

Why it might be priced in

- **We do not disagree with the street. We agree with it from below.** Our own best forecast for 2027 product revenue (~\$686M, +40%) is *lower* than the street's implied \$825–840M. When your differentiated work lands you underneath consensus on a stock trading at 16–19× sales, you do not have a long. You have a valuation objection.

- **The lawsuit is public knowledge.** *In re Vicor Securities Litigation* (N.D. Cal., filed 7/11/2024) alleges misleading earnings-call statements about customer relationships. It is disclosed in every 10-Q and carried by every law-firm wire. It is not our finding.
- **The insider-selling angle is dead.** We checked it and killed it ourselves: recent Form 4 sales total roughly \$1.4M, one of them under a pre-set plan adopted in November 2025, and one officer exercised options on 8/20 and **held**. There is no insider overhang.
- **The capacity story is directionally visible to anyone.** Rising capital spending and a hotter plant are not secrets.
- **Our fair-value band is a multiple assumption.** \$94–141 comes from ~\$3.13 of 2027 EPS at 30–45×. Anyone willing to pay 60× gets a different answer, and in this tape people have been.

What could go wrong

The pre-mortem. Top three failure narratives.

1. We never own it, and that is the loss. The ladder sits at \$120 and \$100. The October print shows product revenue at \$150M+, the growth story validates, the stock re-rates from \$195 toward \$280, and we hold nothing while having done all the work. This is the most likely bad outcome, and it is a *real* cost, not a consolation. **Tripwire exists:** Q3 product revenue (total minus royalties minus engineering fees) ≥ \$150M, and upward revisions to the FY27 consensus. If both fire, the file closes as a miss and we do not chase.

2. We get filled at \$120 for exactly the wrong reason. The price reaches our level *because* the Q3 royalty line steps down — the new agreement rolls off, the legacy stream turns out to be finite after all — at the same time the tax benefit disappears (it disappears mechanically as the price falls) and product growth decelerates from 32% toward the mid-teens. We buy a “cheap” 25× on numbers that are still falling. This is an adverse-selection fill: the gate opens because the thesis broke. **Tripwire exists:** the Q3 10-Q royalty disaggregation, split legacy versus new. It arrives with the filing, not with the press release — one to two weeks *after* our fill would happen.

3. The failure with NO monitorable tripwire: the customer we cannot name. The load-bearing demand story rests on a single unnamed hyperscaler-adjacent customer, asserted by analysts at 25–30% of the book, which management declined to confirm. We cannot monitor an entity we cannot name. Two live vectors, neither one watchable: - **A design socket gets reassigned.** The industry is moving to 800V DC power architecture, and NVIDIA publicly named Delta as a partner on 8/11/2026 — *after* Vicor’s last call. If Vicor’s topology loses the next-generation socket, no Vicor filing announces it. It shows up as a guidance cut, one to two quarters late, after the tape has already moved. - **An export-control action touches the customer chain.** The asserted customer’s largest backer is a UAE entity with prior US scrutiny. A designation anywhere on that chain is a cliff on a quarter of the revenue base, and we have no named counterparty to screen against the restricted-party lists.

Unknown-unknown class, named: unnamed-counterparty concentration. The generalization is that when the entity carrying a quarter of revenue is unresolvable to a name, *every* monitoring instrument we own is inoperative for that risk — screening lists, docket watches, competitor

watches all require a name as the key. The secondary class is **standard-body architecture shift**: a specification change decided outside the issuer that silently reassigns the socket, with no filing obligation on the issuer at all. We have no connector in the atlas for either. Both are gaps, not oversights.

The reflexive and structural leg.

- **Our own size is not the problem.** At 0.5–1.0% of book on a \$9B company, we do not move this tape. But we should say plainly that we **could not measure daily volume this session** — the broker snapshot was permission-denied to both benches — so we are asserting immateriality from market cap, not from measured liquidity. Confirm before the first fill.
- **The reflexivity that matters is inside the income statement, not the order book.** The \$10.9M tax benefit is a function of the share price. As the stock falls toward our \$120 entry, that benefit shrinks and reported EPS gets *worse* — so the headline numbers will look their ugliest precisely when our limit fills. We must not talk ourselves out of the fill using a metric we already know is price-reflexive.
- **We would be bidding into flow we ourselves predict.** Our own read is that this is a momentum position unwinding, not a completed dislocation. Placing a resting bid at \$120 is bidding into selling we expect to continue. That argues for splitting rung one into two tranches rather than one lump, and for not treating \$120 as a floor.
- **A resting limit order across an earnings print is an accidental bet against volatility.** If the 10/20 date is real, the \$120 order must be cancelled before the print and re-placed after, or it becomes a short-volatility position we never chose.
- **Do not let the “clean court, take a starter” reflex fire here.** That default exists for courts that produce no named kill. This court produced one: we forecast *below* consensus on a 16–19× sales stock. Flat at spot is the correct answer, not timidity.

If this position loses money, the most likely reason will be that our limit filled during a momentum unwind that had further to run, because the legacy royalty stream and the price-driven tax benefit both faded faster than the product business grew — leaving us long a good franchise at 25× sales on numbers that were still coming down.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Product revenue was \$128.4M in Q2'26 (our own first pass)	Pulled the revenue disaggregation table from the 10-Q directly	Our bull bench was wrong. It subtracted the \$15M mentioned on the call; the filing says the royalty category was \$30.4M. Product revenue is \$110.9M — our number was 16% too high	REFUTED — our error
Product gross margin ~53–58% (our own first pass)	Recomputed from gross profit minus royalties	46.7%. Same root cause as above — we stripped \$15M instead of \$30.4M, so we were ~7 points too high	REFUTED — our error

Claim	How checked	Found	Confirmed?
Royalties are “contractually terminating” (bear bench assertion)	Traced the royalty line across three quarters: \$10.4M → \$15.0M → \$30.4M	The legacy stream grew 44% year over year . Only the new agreement has a disclosed step-down. “Terminating” was our bear bench’s assumption presented as a disclosure	REFUTED — our error
Ex-royalty EPS is \$0.14, and that is fatal	Reproduced the arithmetic, then ran the same computation on the year-ago quarter	Arithmetic correct. But ex-royalty operating income went from −\$9.9M to +\$4.5M . Our bear bench reported the level and omitted the direction	CONFIRMED as math, OVERSTATED as a kill — our error
Product margin of 46.7% is a kill	Computed the year-ago comparison the bear bench omitted	42.9% a year ago. That is +380bp of expansion presented to us as a negative	CONFIRMED as fact, MISFRAMED — our error
Enterprise value is \$8.84B	Recomputed the share count from the balance sheet	Our bear bench used <i>diluted</i> shares for market cap while also subtracting the full cash balance — double-counting the option proceeds. Correct EV is \$8.52B	REFUTED — our error
“Q2’25 contained a \$45M settlement” is a false claim	Bear bench checked the revenue line; bull bench checked operating income	Bear bench was right that it is not in revenue and wrong to clear the name on that basis — it is inside operating income, provably (reported op income \$45.4M > gross profit \$47.1M). Every year-over-year operating comparison we made was contaminated	REFUTED — our error, and the most instructive one
Insider selling is an overhang	Read every recent Form 4 individually	~\$1.4M total, one under a pre-set plan; an officer exercised and held on 8/20. Our own bear leg died	REFUTED — reported against our own bear case
A second factory is funded and being built	Capital commitments note + satellite imagery of the Andover parcel	Committed capex is \$22.7M , “principally for manufacturing equipment” — not a factory. Satellite shows no construction signature, but the usable image is from 2025-08-31, ~12 months stale, and predates the entire 2026 capex ramp . The commitment figure carries this finding; the imagery does not	CONFIRMED (commitments); imagery INCONCLUSIVE
Capital spending is flat	Cash flow statement	1H’26 capex \$23.6M vs \$10.8M (+119%); net plant and equipment \$147.7M → \$162.5M in six months. Real acceleration — still not factory-scale	REFUTED (bear leg), CONFIRMED (not a fab)
Share count is stable	Compared diluted share counts and treasury stock	Diluted shares 45.1M → 47.7M, +5.8% year over year ; 805,765 treasury shares reissued on \$44.2M of option exercises. The tax benefit and the dilution are the same event — our bear bench booked the benefit as a kill and skipped the cost	CONFIRMED — missed by both benches initially
Earnings convert to cash	Cash flow statement	1H’26 operating cash flow \$30.2M on \$70.4M of net income — 43% conversion, with receivables +\$18.2M and inventory +\$13.1M	CONFIRMED — a real negative neither bench raised first

Claim	How checked	Found	Confirmed?
The lawsuit is a novel finding	Read the contingencies note	Filed 7/11/2024, motion to dismiss granted 6/6/2025 with leave to amend, about 2023 calls. Public, stale, plaintiffs lost at the pleading stage. Our bear bench padded with it	CONFIRMED as fact, NOT novel — our error
Voting control	Balance sheet share detail	Class B shares are 11.7M of 46.1M outstanding (25%) at 10 votes each — roughly 77% of the vote, founder-held . A governance fact, not a thesis	CONFIRMED
Licensing is a one-off	Company press release, 5/26/2026	The revision cites an “all-inclusive license” to an OEM, with the CEO naming ITC exclusion orders as the enforcement lever (release). That is a repeatable toll, not a one-off — it cuts <i>against</i> our bear case	REFUTED — reported against our bear case
Our fair value	Independent build: FY27 product \$686M (+40%, backlog-supported), royalty \$60M, 48% product margin, \$210M opex, 21% tax → ~\$3.13 EPS at 30–45×	\$94–141 . Spot is 38–107% above it. Bear bench’s independent band was \$107–143	CONFIRMED — the two bands overlap at \$107–141

PROPOSED ENTRY BANDS

No entry at \$194.62. The book is flat with no resting orders, and stays that way at spot.

Action	Level	Size	Basis
No bid	above \$141	—	Top of the overlapping fair-value band (\$107–141). The bear bench proposed \$145; we adopt the tighter \$141 because \$145 is above every fair-value estimate either bench produced
Rung 1 — starter	limit \$120 or better	0.5% of book , split into two tranches of 0.25%	Approximately the midpoint of the \$94–141 band. Split because we expect the unwind to continue through the level rather than stop at it
Rung 2 — add	limit \$100 or better	0.5% of book	Near the low end of both benches’ bands (\$94 bull / \$107 bear); a genuine discount to

Action	Level	Size	Basis
			conservative fair value
Maximum position	—	1.0% of book	Momentum-unwind names get sized down, not rejected outright
Trim rule (only if filled)	halve the position	—	If product revenue (total minus royalties minus engineering fees) declines quarter over quarter in any print, or if the royalty category falls below \$18M in a quarter without product revenue reaching \$150M to offset it
Close the file	above \$220	—	If it re-rates before we fill, the work stands as a miss. No chase

Order handling: limit orders only, no market orders, and **all resting orders must be cancelled before the earnings print and re-entered after**. Leaving them in place across the print is an unintended bet against volatility. Confirm average daily volume before the first fill — we could not measure it this session.

Catalyst dates: - 2026-10-20 — Q3 2026 earnings. This date is derived from a data vendor and is **NOT CONFIRMED** by any company announcement. Confirm it against a company press release or 8-K. It is roughly 39 sessions out, so no pre-print positioning question arises today. - What the print must answer for the ladder to stay armed: **(a)** the Q3 royalty split between the legacy stream and the new agreement, and **(b)** product revenue of \$150M or better. These are answered by the 10-Q's revenue detail table, which typically arrives days *after* the press release — so the release alone will not resolve either. - **Undated:** whether plaintiffs file an amended complaint in the N.D. Cal. securities case following the June 2025 dismissal. No deadline verified.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 100.0 (deck-provisional: Rung 2 add, 0.5% of book - low end of both benches' fair-value bands)
- filing watch: 10-Q until 2027-02-21 (deck-provisional: Q3 revenue disaggregation - the royalty split between legacy and new agreement is the hinge of the ent)
- dated pack VICR|2026-10-20: VICR: Q3 2026 earnings - must show royalty split (legacy vs new) and product revenue at or above \$150M for the ladder to stay armed; the rev

What remains unverified

- **Whether the legacy royalty stream persists past the licensing term.** This is the hinge of the whole file. The bear case assumes it terminates; the tape shows it *growing* 44% year over year. No public document resolves it before the Q3 filing.
- **Which product-sales base is correct.** The two benches used different denominators — \$490M (FY26 estimate) versus a ~\$543M implied run-rate — producing 16× versus 19× on enterprise value to product sales. This was never reconciled and it matters for the fair-value band.
- **The customer.** The 25–30% concentration attributed to a single AI-chip customer is analyst-asserted; management declined to confirm it. Everything downstream of it — the growth rate, the concentration risk, the export-control tail — inherits that uncertainty.
- **Daily traded volume and any independent price quote.** The broker connection was denied to both benches. The \$194.62 mark is from a single vendor feed and has not been re-quoted. No liquidity claim in this deck is measured.
- **The 2027 product growth rate.** Ours is +40%; the street's is +68–71%. Backlog covers 43–45% of the street's. Neither is verifiable before the print.
- **The 800V DC competitive outcome.** Whether Vicor's topology holds the next-generation socket is unresolved and, per the pre-mortem, unmonitorable with current instruments.
- **Form 144 volumes.** Three 144 filings appear in the recent list and none were sized.
- **Any quantification of the securities-litigation exposure.** Plaintiffs lost the first round; damages, if the case revives, are unbounded in our model because nothing has been pled successfully.
- **OSHA establishment records** for the Andover, Cedar Park, and Milwaukie sites — uncheckable this session. Low value; plant existence is not in dispute.
- **The 2026-10-20 earnings date itself.**

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